Betsson AB (Nasdaq Stockholm: BETS-B.ST)

Q3 2026 Earnings — Analyst Brief · Released 22 Oct 2026 · Currency EUR (tables in millions; USD equivalents at EUR/USD 1.1205, IMF rate 22 Oct 2026)

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Shares closed +1.8% at SEK 95.40 (~$9.4) on 22 Oct 2026 (previous close SEK 93.75) after trading as high as SEK 101.60 (+8.4%) intraday and +6.2% at the time of the 09:00 CET call; +7.1% on the week. Market cap ~SEK 12.9bn (~$1.3bn) on 135.3m shares outstanding; the stock remains ~36% lower year-to-date.

THE ONE-LINE VERDICT

Record revenue (EUR 326.5m / ~$366m, +10% reported, +8% organic, 4% above consensus) bought with a structurally lower margin: gross margin -870bps to 55.5% as regulated LatAm B2C casino replaced high-margin B2B licence income, leaving EBIT -31% and EPS -44% YoY. The second straight sequential EBIT rise and a +11% start to Q4 are real, but the earnings base has reset and the balance sheet is quietly thinning (net cash EUR 98m vs EUR 220m) with the buyback spent at SEK 112 against a SEK 95 share price.

REVENUE (Q3-26)	EBITDA / MARGIN	EBIT / MARGIN	EPS (IFRS, BASIC)	ACTIVE B2C CUSTOMERS	NET CASH
EUR 326.5m (~$366m)	**EUR 63.4m (~$71m) / 19.4%**	**EUR 46.1m (~$52m) / 14.1%**	**EUR 0.19 (~$0.21)**	**1.87m**	**EUR 98.3m (~$110m)**
+10.4% YoY reported; +8.1% organic; +5.3% QoQ	-23.2% YoY; margin -850bps YoY, +60bps QoQ	-31.1% YoY; +9.2% QoQ (2nd sequential rise)	-44% YoY (EUR 0.34); 9M EUR 0.59 (~$0.66), -43%	+40.1% YoY; +2.7% QoQ (record)	vs EUR 128.4m Q2-26 and EUR 220.0m Q3-25; ND/EBITDA -0.4x

1 EXECUTIVE SUMMARY

- **Beat on revenue, in-line-plus on EBITDA, but a 44% earnings decline.** Q3-26 revenue EUR 326.5m (~$366m), +10.4% reported / +8.1% organic (constant currency, ex-Rhino), 4% above FactSet consensus of EUR 314m; EBITDA EUR 63.4m (~$71m) vs EUR 62m consensus (+2%). EBITDA -23% YoY, EBIT -31% to EUR 46.1m (~$52m), net income -44% to EUR 28.2m (~$32m), basic EPS EUR 0.19 (~$0.21) vs EUR 0.34. 9M: revenue EUR 922.1m (~$1.03bn) +3%, EBIT EUR 122.3m (~$137m) -39%, EPS EUR 0.59 (~$0.66) -43%.
- **Management is steering to the sequential trend, and it is positive.** EBIT +9.2% QoQ (EUR 42.2m to 46.1m), EBIT margin 14.1% vs 13.6% in Q2 — the second consecutive quarterly increase — despite a 240bps QoQ drop in sportsbook margin. The CEO declined to say when YoY earnings growth returns; on the FY25 base (Q4-25 EBIT EUR 53.2m) the YoY comparison stays negative through at least Q4.
- **Mix, not cost inflation, is the margin story.** Gross margin 55.5% (-870bps YoY, -170bps QoQ). Locally regulated revenue +35% to EUR 253.8m (~$284m), 77.7% of group (63.8% a year ago); betting duties +68% to a record EUR 69.4m (~$78m), 21.3% of revenue vs 14.0%; payment-provider fees up with B2C deposits. CEO to iGB on whether a LatAm-heavy Betsson is a lower-margin company: "Yes."
- **B2B licence revenue -39% YoY to EUR 46.7m (~$52m), 14% of group vs 26%** — down ~EUR 30m on one customer, flat QoQ (~EUR 47m in Q2, EUR 51m in Q1). Management says the decline has "stabilised"; the CEO named B2B growth as his one wish for the quarter. B2C revenue +28% (+EUR 61m) to EUR 279.8m (~$314m), 86% of group.
- **Casino carried the quarter; sportsbook was flat on luck.** Casino +13.7% YoY / +16.5% QoQ to a record EUR 253.5m (~$284m), 77% of revenue; sportsbook +0.8% to EUR 71.8m (~$80m) despite turnover +8.1% to EUR 1.37bn (~$1.53bn), as margin after free bets fell to 8.1% (8.8% Q3-25; 10.5% Q2-26; 9.0% eight-quarter average) on player-friendly European football results.
- **World Cup drove a record customer base but lower value per head.** >800,000 customers served and >20m bets taken during the tournament with 100% sportsbook uptime; actives +40% to 1.87m; deposits +6.4% YoY / +11.8% QoQ to EUR 1.55bn (~$1.73bn). Our calculated B2C revenue per active fell ~9% YoY to ~EUR 149 (~$167) per quarter. No prior-tournament comparables were disclosed, so the event uplift cannot be sized precisely.
- **Latin America is now 36% of group (26% a year ago).** Revenue EUR 116.1m (~$130m), +52% YoY, +4% QoQ, record; Argentina, Peru and Colombia all strong with new records in casino revenue, deposits and casino turnover. Marketing ex-affiliates +21% YoY to EUR 41.6m (~$47m), 12.7% of group revenue / 15% of B2C revenue (16%) and ~20% including EUR 13.1m affiliate and partner commissions — the increase is LatAm-driven.
- **CEECA -17% to EUR 99.2m (~$111m) and Nordics -10% to EUR 32.7m (~$37m)** are the two shrinking regions; CEECA is entirely the B2B customer (regional B2C in Croatia, Georgia, Lithuania, Latvia, Estonia grew), Nordics is Sweden and Denmark down across both products. Western Europe +14% to a record EUR 64.8m (~$73m) on Italy's all-time high; Belgium weaker and rebranded from betFIRST to Betsson on Techsson.
- **No formal guidance — the trading update is the bridge.** Average daily revenue 1–18 Oct was +11.0% vs the full-Q4-25 daily average (+9.4% organic, ex-FX and Rhino) despite a sportsbook margin "significantly lower" than the eight-quarter average. On the Q4-25 base of EUR 303.9m that implies a ~EUR 337m (~$378m) run-rate if sustained (our arithmetic, not company guidance).
- **Rhino Entertainment consolidated from August and accretive immediately.** Two months contributed EUR 12.8m (~$14m) revenue and EUR 3.8m (~$4.3m) EBIT (~30% margin), implying a ~EUR 19m quarterly revenue run-rate. Preliminary price EUR 73.1m (~$82m) cash/debt-free (vs ~EUR 64.5m indicated at announcement in March), goodwill EUR 47.8m, net cash outflow EUR 58.8m. Adds Ontario/Canada B2C plus proprietary middleware/front-end tech earmarked for B2B licensing.
- **Net cash down to EUR 98.3m (~$110m) from EUR 128.4m in Q2 and EUR 220.0m a year ago.** Cash EUR 284.7m (~$319m); bonds EUR 173.8m (~$195m: 2024/27 at 3M Euribor+325bps, 2025/29 at +275bps); new EUR 75m (~$84m) two-year RCF signed in July, undrawn. Net debt/EBITDA -0.4x; equity ratio 61%. The second FY25 dividend instalment (SEK 3.58/share, ~EUR 0.33 / ~$0.37, ex-date 10 Nov) of roughly EUR 44m leaves in Q4.

- **Buyback complete, no successor, and underwater.** The EUR 40m (~$45m) programme (24 Oct 2025–30 Apr 2026) bought 3,849,700 B shares at a weighted average SEK 112.22 vs SEK 95.40 today; 3,094,000 shares were cancelled in May. Zero repurchases in Q3 and no new programme announced. The CEO instead told iGB Betsson "could do a sizeable deal" and would not be afraid to add debt for a larger acquisition.
- **Cash conversion is softening.** OCF EUR 54.5m (~$61m), -16% YoY, helped by +EUR 4.3m working capital; capex EUR 15.8m (+27%) with capitalised development EUR 14.2m vs 11.1m; FCF (OCF less capex, our calc) EUR 38.7m (~$43m), -26% YoY; 9M FCF EUR 128.5m (~$144m), -17%. Amortisation of capitalised development now EUR 11.4m/qtr vs 8.1m.
- **Below-the-line items exaggerate the net income fall.** Net financial items -EUR 5.2m (vs -2.5m) on unrealised FX losses on intercompany loans; effective tax rate 31.1% vs 22.3% (26.6% in Q2) on jurisdictional mix. Both are volatile and partly reversible.
- **No cost-transformation programme exists — and none was announced.** Management's stated levers are B2B growth (higher gross margin) and operating leverage on a larger B2C base. Personnel +2.7% YoY (avg FTE 2,913 vs 2,801), other external +16.5% (cloud, software licences, Rhino), opex +9.8%; 9M opex +7.8%. The Q1-26 report quantified sub-scale B2C investment markets as a EUR 10–15m quarterly EBIT drag; this was not updated in Q3.
- **Regulation: Brazil shut, LatAm tax creep, EU levy noise.** Brazil's 25 Sept presidential ban (120-day congressional window; licences expire 25 Oct absent court suspension) saw Betsson halt registrations, deposits and marketing; exposure was deliberately minimal and management reports no material hit. Buenos Aires Province imposed a 2% tax on instant-win winnings (under appeal); Chile's 19% digital VAT applies ahead of licensing; Lithuania's 22%→30% tax rise stalled on Finance Ministry opposition; Germany exited (licence expired 3 July); a 3% EU-wide online gambling levy is being discussed with Malta signalling a veto.
- **Shares +1.8% to SEK 95.40 (~$9.4) on the day** after an intraday high of SEK 101.60 (+8.4%); +7.1% on the week. The stock is -36% YTD; on our calculation ~10x trailing EPS and a ~7.8% yield on the FY25 EUR 0.66 DPS — at our FY26E EPS of ~EUR 0.80, a 50% payout would imply DPS nearer EUR 0.40 unless the board holds the dividend.
- **Data-quality flag on organic growth.** The interim report states organic revenue growth of 8.1%; the AI-generated call transcript has the CFO citing 6%. We use the company-reported 8.1%; Q2-26 organic was 6.1%, which may explain the confusion.
- **Thesis read-through.** Volume and customer momentum are genuine, regulated and geographically diversified, and Q4 has started strongly. But the profit reset is structural (tax and channel mix), FY26E EBIT will land roughly a third below FY25, cash conversion and net cash are drifting lower, and capital allocation has pivoted from buybacks to M&A. The re-rating case rests on B2B re-growth, post-World Cup cohort retention in LatAm and sportsbook hold normalising — the first two are observable over the next two quarters, the last is luck in the short run.

2 GROUP FINANCIAL SUMMARY

EUR M (~US$M AT 1.12)	Q3-26	QOQ	YOY	9M-26	9M YOY
REVENUE BY PRODUCT					
Casino	253.5 (~$284)	+16.5%	+13.7%	674.9 (~$756)	+4.2%
Sportsbook	71.8 (~$80)	-21.4%	+0.8%	243.2 (~$273)	+1.0%
Other (poker, bingo)	1.3 (~$1.5)	+8%	-13%	3.9 (~$4.4)	-11%
Group revenue	**326.5 (~$366)**	**+5.3%**	**+10.4%**	**922.1 (~$1,033)**	**+3.2%**
Organic growth (cc, ex-acquisitions)	+8.1%	Q2: +6.1%	Q3-25: +11%	~+6%	n/a
REVENUE BY REGION					
Latin America	116.1 (~$130)	+3.6%	+51.8%	321.2 (~$360)	+36.3%
CEECA	99.2 (~$111)	-1.4%	-16.8%	295.5 (~$331)	-17.9%
Western Europe	64.8 (~$73)	+0.9%	+13.8%	190.3 (~$213)	+10.8%
Nordics	32.7 (~$37)	+16.4%	-10.0%	92.2 (~$103)	-14.7%
Rest of World (incl. Rhino/Canada)	13.7 (~$15)	+158%	+106%	22.9 (~$26)	+30%
REVENUE BY CHANNEL					
B2C revenue	279.8 (~$314)	+6.3%	+27.8%	n/a	n/a
B2B licence revenue (% of group) Q2-26 B2B figure (~EUR 47m) from Q2 call summary; Q1-26 EUR 51m per Q1 report.	46.7 (~$52) / 14%	~-1% (Q2 ~47)	-39.3% (Q3-25: 76.9 / 26%)	n/a	n/a
Locally regulated revenue (% of group)	253.8 (~$284) / 77.7%	Q2: 76%	+34.6% (Q3-25: 63.8%)	n/a	n/a
PROFITABILITY					
Cost of services provided (% rev)	145.4 (~$163) / 44.5%	+9.6%	+37.2% (35.8%)	399.1 (~$447) / 43.3%	+24.1% (36.0%)
of which betting duties (% rev)	69.4 (~$78) / 21.3%	+14.1%	+67.6% (14.0%)	183.6 (~$206) / 19.9%	+38.1% (14.9%)
Gross profit	181.1 (~$203)	+2.0%	-4.6%	523.0 (~$586)	-8.5%
Gross margin	55.5%	-170bps	-870bps	56.7%	-730bps
Marketing ex-affiliates (% rev)	41.6 (~$47) / 12.7%	+0.5%	+20.9% (11.6%)	120.9 (~$135) / 13.1%	+11.6% (12.1%)
Personnel expenses	49.8 (~$56)	+0.2%	+2.7%	146.3 (~$164)	+5.4%
Other external expenses	42.3 (~$47)	+5.5%	+16.5%	122.9 (~$138)	+12.4%
Capitalised development costs	14.2 (~$16)	+13.6%	+27.9%	38.9 (~$44)	+29.2%
EBITDA (APM)	**63.4 (~$71)**	**+8.4%**	**-23.2%**	**171.8 (~$193)**	**-29.7%**
EBITDA margin	19.4%	+60bps	-850bps	18.6%	-880bps
D&A	17.3 (~$19)	+6.1%	+10.2%	49.5 (~$55)	+11.2%
EBIT (IFRS)	**46.1 (~$52)**	**+9.2%**	**-31.1%**	**122.3 (~$137)**	**-38.8%**
EBIT margin	14.1%	+50bps	-850bps	13.3%	-910bps
Organic EBIT (ex-FX, ex-Rhino)	44.8 (~$50)	-2.2%	-33.0%	n/a	n/a
Net financial items	-5.2 (~-$6)	Q2: -0.8	Q3-25: -2.5	-7.0 (~-$8)	9M-25: -10.0
Income before tax	40.9 (~$46)	-1.2%	-36.5%	115.3 (~$129)	-39.3%
Tax (effective rate)	-12.7 / 31.1%	Q2: 26.6%	Q3-25: 22.0%	-31.2 / 27.1%	9M-25: 22.3%
Net income (IFRS)	**28.2 (~$32)**	**-7.2%**	**-43.7%**	**84.1 (~$94)**	**-43.0%**
of which attributable to parent	26.3 (~$29)	n/a	-44.7%	79.9 (~$90)	-44.8%
EPS basic (EUR)	0.19 (~$0.21)	-13.6%	-44.1% (0.34)	0.59 (~$0.66)	-43.3% (1.04)
EPS diluted (EUR)	0.19 (~$0.21)	Q2: 0.21	Q3-25: 0.34	n/a	n/a
Adjusted EPS	n/a — not reported	n/a	n/a	n/a	n/a
GROUP KPIS					
Active B2C customers (3-month)	1,874,687	+2.7%	+40.1%	n/a	n/a
Customer deposits (B2C+B2B)	1,545.4 (~$1,732)	+11.8%	+6.4%	4,287.4 (~$4,804)	-5.3%
B2C revenue per active (our calc)	~EUR 149 (~$167)	+3.5%	-8.7% (EUR 164)	n/a	n/a

EUR M (~US$M AT 1.12)	Q3-26	QOQ	YOY	9M-26	9M YOY
Sportsbook margin after free bets	8.1%	-240bps (10.5%)	-70bps (8.8%)	8.9%	+20bps (8.7%)
Average FTEs	2,913	2,899	2,801	n/a	n/a
CASH FLOW & BALANCE SHEET					
Operating cash flow	54.5 (~$61)	-9.8%	-15.9%	173.0 (~$194)	-10.0%
Capex (intangibles/tangibles)	15.8 (~$18)	+11%	+27%	44.5 (~$50)	+21%
Free cash flow (OCF less capex, our calc)	38.7 (~$43)	-16.2%	-26.1%	128.5 (~$144)	-17.4%
Acquisitions (net cash)	-58.8 (~-$66) Rhino	0	+24.8 (disposal)	-58.9	+21.0
Share buybacks	0	Q2: in 9M total	0	27.5 (~$31)	0
Dividends paid (parent shareholders)	0	n/a	0	44.5 (~$50)	59.3
Cash & equivalents	284.7 (~$319)	Q2: 310.0	Q3-25: 394.2	n/a	n/a
Bonds outstanding	173.8 (~$195)	Q2: 173.8	Q3-25: 170.1	n/a	n/a
Net cash (net debt negative)	**98.3 (~$110)**	**Q2: 128.4**	**Q3-25: 220.0**	**n/a**	**n/a**
Net debt / LTM EBITDA	-0.4x	-0.5x	-0.7x	n/a	n/a
Equity / equity ratio	857.2 (~$961) / 61%	830.6 / 61%	877.0 / 60%	n/a	n/a

3 SEGMENT DEEP-DIVE — CASINO (77% OF GROUP REVENUE)

Record EUR 253.5m (+14% YoY, +17% QoQ) on World Cup-acquired actives and LatAm regulated B2C — growth is real but tax-heavy and partly sportsbook spill-over.

RECORD REVENUE, CONSOLIDATION ARTEFACT

Casino revenue rose 13.7% YoY and 16.5% QoQ to a record EUR 253.5m (~$284m), now 77% of group revenue.

- Share of group revenue rose to 77% from 75% a year ago and 70% in Q2.
- Gross turnover across all gaming solutions grew a more modest 7.0% to EUR 9.48bn (~$10.6bn).
- CFO: gap between turnover and revenue growth is a consolidation artefact as B2B partner volume is replaced by own B2C volume.
- Implied revenue-to-turnover ratio 2.67% versus 2.63% in Q2 and 2.52% a year ago; not a hold improvement and we would not extrapolate it.
- Nine months: casino revenue +4.2% to EUR 674.9m (~$756m) on turnover down 6.6%.

REGIONAL DRIVERS

Latin America was the engine, with casino revenue up 50% YoY and 17% sequentially to EUR 84.9m (~$95m).

- LatAm: Argentina, Peru and Colombia cited; new regional records in casino revenue, deposits and casino turnover.
- Western Europe +19% to EUR 54.3m (~$61m) on Italy's all-time-high quarter; Belgium lower as betFIRST migrated onto Techsson and relaunched as Betsson at quarter-end.
- CEECA fell 13% to EUR 78.9m (~$88m) on lower B2B licence revenue; B2C markets Croatia, Georgia, Lithuania, Latvia and Estonia grew.
- Nordics fell 5% to EUR 24.8m (~$28m) on Sweden and Denmark declines, but rebounded 25% sequentially to the highest level this year.
- Rest of World jumped to EUR 10.6m (~$12m) from EUR 1.0m on two months of Rhino's Canadian business.

GROWTH DRIVERS AND CONTENT

Management's explanation for the 14% print is mechanical: record 1.87m actives (+40%) from World Cup marketing plus sportsbook spill-over.

- When sportsbook results run player-friendly, money finds its way into casino; Lindwall said no single product initiative stood out.
- 478 new games in the quarter, 40 with exclusivity windows; new slot suppliers integrated in several markets.
- Third sponsorship-linked bespoke slot (Gates of Inter, following Boca Juniors and Atlético Nacional titles).
- Betsson does not disclose casino market shares by geography; Italian and Argentine records are the closest proxies for competitive position.

COST OF GROWTH

Regulated B2C growth drove betting duties up 68% to a record EUR 69.4m (~$78m), 21.3% of revenue versus 14.0%.

- Regulated revenue rose 35% to 77.7% of group.
- Payment-provider costs rose with B2C deposits, +11.8% QoQ to EUR 1.55bn (~$1.73bn).
- Our B2C revenue per active ~EUR 149 (~$167), down roughly 9% YoY as World Cup actives dilute the base, up ~3% sequentially.

OUTLOOK AND SUSTAINABILITY

We see the 14% as roughly half structural and half event-assisted, and expect the second half to fade.

- Management expects tournament intake to settle at a 'new platform' of actives with normal churn.
- Retention of the World Cup cohort into Q4 is the single biggest casino swing factor.
- Structural part: regulated LatAm B2C scale and Italy; event-assisted part: World Cup intake plus sportsbook spill-over.

CASINO — EUR M (~US$M AT 1.12)	Q3-26	QOQ	YOY	9M-26	9M YOY
Casino revenue	**253.5 (~$284)**	**+16.5%**	**+13.7%**	**674.9 (~$756)**	**+4.2%**
Casino gross turnover (all gaming solutions)	9,481.5 (~$10,624)	+14.7%	+7.0%	25,725.5 (~$28,825)	-6.6%
Implied revenue / turnover (our calc; mix-affected)	2.67%	+4bps (2.63%)	+15bps (2.52%)	2.62%	+27bps (2.35%)
Share of group revenue	77%	70%	75%	73%	73%
CASINO REVENUE BY REGION					
Latin America	84.9 (~$95)	+16.9%	+50.0%	220.7 (~$247)	+37.8%
CEECA	78.9 (~$88)	+6.0%	-12.8%	223.5 (~$250)	-17.0%
Western Europe	54.3 (~$61)	+8.8%	+18.8%	152.1 (~$170)	+14.9%
Nordics	24.8 (~$28)	+24.6%	-4.6%	65.6 (~$74)	-13.8%
Rest of World	10.6 (~$12)	n.m. (1.0)	+159%	13.1 (~$15)	+39%
OPERATING METRICS					
New games launched (of which exclusive)	478 (40)	n/a	n/a	n/a	n/a
Active B2C customers (group)	1,874,687	+2.7%	+40.1%	n/a	n/a
B2C revenue per active, all products (our calc)	~EUR 149 (~$167)	+3.5%	-8.7%	n/a	n/a
Betting duties, group (% of group revenue)	69.4 (~$78) / 21.3%	+14.1%	+67.6%	183.6 (~$206) / 19.9%	+38.1%
Casino market share	n/a — not disclosed	n/a	n/a	n/a	n/a

4 SEGMENT DEEP-DIVE — SPORTSBOOK (22% OF GROUP REVENUE)

Turnover +8% and live betting +21%, but margin 8.1% (vs 10.5% in Q2, 9.0% 8Q avg) left revenue flat at EUR 71.8m; Q4 has started with hold 'significantly below' average.

FLAT REVENUE, WEAK MARGIN

Sportsbook revenue rose just 0.8% YoY to EUR 71.8m (~$80m), down 21% sequentially from EUR 91.3m, on an 8.1% margin.

- Gross turnover across all gaming solutions +8.1% YoY to EUR 1.37bn (~$1.53bn), +5.7% on Q2, helped by World Cup in July and European league starts.
- Margin after free bets 8.1%: down 70bps from 8.8% a year ago, down 240bps from 10.5% in Q2, 90bps below the eight-quarter average of 9.0%.
- CEO attributed the margin to player-friendly results in European leagues and cups.
- Share of group revenue slipped to 22% from 24% (29% in Q2), below the 25–30% range the CEO described as typical.
- Live turnover rose 21% to EUR 759.8m (~$851m), 55.6% of turnover versus 49.6% a year ago.

LUCK VERSUS STRUCTURE

Margin shortfall against the 9.0% average cost the group mid-to-high single-digit millions of revenue in the quarter (our estimate).

- Turnover KPI includes B2B partners' volume while revenue includes only the licence fee earned on it, complicating comparison with US peers.
- Each 100bps of margin on EUR 1.37bn of turnover is ~EUR 14m of gross win, of which Betsson keeps the B2C portion in full.
- Management does not disclose structural margin, parlay/bet-builder penetration or promotional spend as a percentage of handle; promotional intensity cannot be isolated.
- Nine months: margin 8.9% versus 8.7%, revenue +1.0% on turnover down 9.9%; year to date is hold-assisted while volumes shrank, mostly from lost CEECA B2B volume.

REGIONAL PERFORMANCE

LatAm sportsbook rose 58% YoY to a record EUR 31.2m (~$35m) but fell 21% sequentially as margin normalised from the World Cup-peak Q2.

- CEECA fell 30% to EUR 19.6m (~$22m) on lower B2B licence activity and a weaker margin.
- Western Europe fell 7% to EUR 10.3m (~$12m), France and Belgium both hit by lower margins QoQ.
- Nordics fell 22% to EUR 7.6m (~$9m); Rest of World rose to EUR 3.1m (~$3.5m) with Rhino.
- CFO: sportsbook-heavy B2B licence line was slightly down sequentially for margin reasons; the large B2B customer's trajectory and sportsbook hold are now intertwined.

WORLD CUP EXECUTION

More than 800,000 customers served and more than 20 million bets taken during the World Cup with 100.0% uptime.

- New extra-time markets, team and player pages for major European fixtures, continued bet-builder development.
- Management benchmarks itself among market leaders in number of markets and bet types; not independently verifiable.
- No prior-tournament comparables (customers or bets at Euro 2024) disclosed, so event uplift cannot be sized precisely.

Q4 OUTLOOK

Daily revenue through 18 October is running +11% YoY despite sportsbook margin 'significantly lower' than the eight-quarter average.

- Message is bullish on volume and bearish on near-term hold.
- If margin mean-reverts towards 9% over the balance of the quarter, Q4 sportsbook revenue has upside versus the run-rate.
- If the player-friendly run persists through the autumn football calendar, the sequential EBIT improvement narrative is at risk.

SPORTSBOOK — EUR M (~US$M AT 1.12)	Q3-26	QOQ	YOY	9M-26	9M YOY
Sportsbook revenue	**71.8 (~$80)**	**-21.4%**	**+0.8%**	**243.2 (~$273)**	**+1.0%**
Gross turnover (all gaming solutions)	1,365.6 (~$1,530)	+5.7%	+8.1%	4,113.7 (~$4,609)	-9.9%
of which live betting turnover	759.8 (~$851)	+6.6%	+21.2%	2,307.3 (~$2,585)	-9.3%
Live share of turnover	55.6%	55.2%	49.6%	56.1%	55.8%
Margin after free bets (net)	**8.1%**	**-240bps (10.5%)**	**-70bps (8.8%)**	**8.9%**	**+20bps (8.7%)**
Eight-quarter rolling average margin	9.0%	n/a	n/a	n/a	n/a
Structural margin / promo % of handle	n/a — not disclosed	n/a	n/a	n/a	n/a
Share of group revenue	22%	29%	24%	26%	27%
SPORTSBOOK REVENUE BY REGION					
Latin America	31.2 (~$35)	-20.8%	+57.6%	100.2 (~$112)	+33.1%
CEECA	19.6 (~$22)	-23.1%	-30.0%	69.8 (~$78)	-20.8%
Western Europe	10.3 (~$12)	-27.5%	-7.2%	37.7 (~$42)	-3.6%
Nordics	7.6 (~$9)	-3.8%	-22.4%	25.7 (~$29)	-15.7%
Rest of World	3.1 (~$3.5)	-26.2%	+24%	9.7 (~$11)	+23%
WORLD CUP 2026 ENGAGEMENT					
Customers served / bets taken / uptime	>800k / >20m / 100.0%	n/a	prior event: n/a	n/a	n/a
Q4-26 to 18 Oct: daily revenue vs full Q4-25	+11.0% reported / +9.4% organic	n/a	sports margin 'significantly below' 8Q avg	n/a	n/a

5 SEGMENT DEEP-DIVE — REGIONS, CHANNEL MIX & B2B

LatAm 36% of group (+52%), CEECA -17% on one B2B customer; B2B 14% of revenue (26%) and regulated share 78% — the mix that explains an 870bps gross-margin drop.

LATIN AMERICA

LatAm is the largest region at 36% of group (26% a year ago): record EUR 116.1m (~$130m), +52% YoY, +4% sequentially.

- Argentina, Peru and Colombia all strong; marketing stepped up around the World Cup.
- Average ARS/EUR 24% weaker YoY, so local-currency growth is higher; currency cost ~EUR 6m of group revenue per the organic reconciliation.
- Brazil overhang: 25 September immediate ban on online gambling, subject to congressional approval within 120 days; licences scheduled to expire 25 October absent court suspension.
- Betsson's Brazil subsidiary suspended registrations, deposits, marketing and sponsorship; management reports no material P&L hit and CEO expects the market to reopen in some form.
- Other noise: Buenos Aires Province 2% tax on instant-win winnings (under appeal), Chile's 19% digital VAT regime and site-blocking; nothing in Chile material.

> *"on the grandstand"* — **Management**

CEECA AND B2B

CEECA fell 17% to EUR 99.2m (~$111m), 30% of group versus 41%, entirely on lower licence revenue from one B2B customer.

- B2B customer decline reflects lower sportsbook and casino activity plus a weaker sportsbook margin; B2C in Croatia, Georgia, Lithuania, Latvia and Estonia grew on casino.
- CFO said the B2B decline has 'stabilised': B2B revenue EUR 51m in Q1, ~EUR 47m in Q2, EUR 46.7m (~$52m) in Q3.
- CEO named stronger B2B growth as his one wish, pointing to existing-client growth and new wins, with Rhino's middleware and front-end technology intended to 'fuel' the offer.
- Lithuania's proposed gambling tax increase from 22% to 30% has stalled after the Finance Ministry recommended rejection.

WESTERN EUROPE AND NORDICS

Western Europe grew 14% to a record EUR 64.8m (~$73m), 20% of group; Nordics fell 10% to EUR 32.7m (~$37m), 10% of group.

- Italy all-time high with record deposits and turnover; France grew YoY but fell sequentially on sportsbook margin.
- Belgium fell YoY and sequentially on margin and lower casino activity; migrated to Techsson and relaunched as Betsson at quarter-end.
- Germany exited (Zecure Gaming's licence expired 3 July).
- Nordics: Sweden and Denmark lower across both products, but highest quarterly revenue of the year (+16% QoQ) on casino.

REST OF WORLD AND RHINO

Rest of World rose 106% to EUR 13.7m (~$15m), 4% of group, on two months of Rhino in Canada.

- Rhino contributed EUR 12.8m (~$14m) revenue and EUR 3.8m (~$4.3m) EBIT in August–September, a ~30% EBIT margin and ~EUR 19m quarterly revenue run-rate.
- Preliminary price EUR 73.1m (~$82m) cash/debt-free versus ~EUR 64.5m indicated at announcement; EUR 47.8m goodwill; net cash outflow EUR 58.8m.
- Acquisition costs described as immaterial.

CHANNEL MIX AND MARGIN

B2C rose 28% to EUR 279.8m (~$314m), 86% of group, while B2B fell 39% to 14%, driving gross margin to 55.5% from 64.2%.

- Locally regulated revenue rose 35% to EUR 253.8m (~$284m), 77.7% of group versus 63.8%.
- Betting duties up ~EUR 28m YoY to a record; payment fees rising with B2C deposits.
- Marketing ex-affiliates EUR 41.6m (~$47m), +21% YoY, 12.7% of group revenue and 15% of B2C revenue (16% a year ago), roughly 20% including EUR 13.1m affiliate commissions; LatAm-driven.
- Q1-26 report quantified sub-scale B2C investment markets as a EUR 10–15m quarterly EBIT drag, not updated since.

COST STRUCTURE OUTLOOK

CFO was candid that gross-profit lines are largely outside management's control; the lever is operating leverage on a larger B2C base.

- CEO's framing to iGB that a LatAm-heavy Betsson is a structurally lower-margin business is the right one for modelling purposes.
- No cost-transformation programme exists; other external costs +16.5% on cloud and software.
- Partly offset by higher capitalisation of development (EUR 14.2m vs 11.1m).

REGIONS & CHANNEL — EUR M (~US$M AT 1.12)	Q3-26	QOQ	YOY	9M-26	9M YOY
REVENUE BY REGION (ALL PRODUCTS)					
Latin America (share of group)	116.1 (~$130) / 36%	+3.6%	+51.8% (26%)	321.2 (~$360) / 35%	+36.3%
CEECA (share)	99.2 (~$111) / 30%	-1.4%	-16.8% (41%)	295.5 (~$331) / 32%	-17.9%
Western Europe (share)	64.8 (~$73) / 20%	+0.9%	+13.8% (19%)	190.3 (~$213) / 21%	+10.8%
Nordics (share)	32.7 (~$37) / 10%	+16.4%	-10.0% (12%)	92.2 (~$103) / 10%	-14.7%
Rest of World (share)	13.7 (~$15) / 4%	+158%	+106% (2%)	22.9 (~$26) / 2%	+30%
Group revenue	**326.5 (~$366)**	**+5.3%**	**+10.4%**	**922.1 (~$1,033)**	**+3.2%**
CHANNEL & REGULATORY MIX					
B2C revenue (share)	279.8 (~$314) / 86%	+6.3%	+27.8% (74%)	n/a	n/a
B2B licence revenue (share)	46.7 (~$52) / 14%	~-1% (Q2 ~47 / 15%)	-39.3% (76.9 / 26%)	n/a	n/a
Locally regulated revenue (share)	253.8 (~$284) / 77.7%	Q2: 76%	+34.6% (188.6 / 63.8%)	n/a	n/a
Rhino contribution (consolidated Aug–Sep)	Rev 12.8 (~$14) / EBIT 3.8 (~$4.3)	n/a	n/a	same	n/a
COST LINES					
Betting duties	69.4 (~$78)	+14.1%	+67.6%	183.6 (~$206)	+38.1%
Licence fees (game suppliers)	28.5 (~$32)	+12.2%	+12.6%	78.8 (~$88)	+3.4%
Affiliate & partner commissions	13.1 (~$15)	+2.3%	+8.3%	37.8 (~$42)	+12.8%
Other cost of services (incl. payments)	34.5 (~$39)	+2.7%	+27.3%	98.9 (~$111)	+25.5%
Marketing ex-affiliates (% of B2C revenue)	41.6 (~$47) / 15%	+0.5%	+20.9% (16%)	120.9 (~$135)	+11.6%
Marketing incl. affiliates (% of B2C, our calc)	54.7 (~$61) / 19.5%	n/a	21.2%	n/a	n/a
FX effect on revenue (organic reconciliation)	-6.0 (~-$7)	Q2: -12.0	Q3-25: -18.9	-38.9	n/a
Market share by region	n/a — not disclosed	n/a	n/a	n/a	n/a

6 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Record revenue EUR 326.5m (~$366m), +10.4% reported / +8.1% organic, 4% above FactSet consensus (EUR 314m); EBITDA EUR 63.4m (~$71m) 2% above consensus. Regulated revenue +35% to 77.7% of group — growth is in licensed markets. structural
- Casino +14% to record EUR 253.5m (~$284m); LatAm +52% to EUR 116.1m (~$130m) with records in Argentina, Peru, Colombia; Italy all-time high. Actives +40% to 1.87m; deposits +6% YoY / +12% QoQ. mixed
- EBIT +9% QoQ to EUR 46.1m (~$52m) and margin +50bps to 14.1% — second consecutive sequential improvement, achieved despite a 240bps QoQ drop in sportsbook margin. early
- Q4 started strongly: daily revenue to 18 Oct +11.0% YoY (+9.4% organic) vs the full-Q4-25 average, with sportsbook hold running well below average — i.e. volume-led, with margin upside if hold normalises. early
- Rhino accretive from day one: EUR 3.8m (~$4.3m) EBIT on EUR 12.8m (~$14m) revenue in two months (~30% margin); adds Ontario B2C and B2B technology; EUR 75m RCF signed for flexibility. structural
- B2B licence revenue has held ~EUR 47m (~$52m) for two quarters after the step-down — management calls it 'stabilised' and is targeting growth from existing and new clients. early
- Live betting 55.6% of sportsbook turnover (49.6% a year ago), live turnover +21% YoY; 100% uptime through the World Cup with >20m bets. structural

▼ LOWLIGHTS

- Gross margin 55.5%, -870bps YoY and -170bps QoQ; betting duties +68% to EUR 69.4m (~$78m), 21.3% of revenue vs 14.0%. The CEO accepts a LatAm-heavy Betsson is structurally lower-margin — this does not reverse. structural
- EBIT -31%, net income -44%, EPS -44% to EUR 0.19 (~$0.21); 9M EBIT -39%. FY26E EBIT will land roughly a third below FY25 (EUR 253.1m); no date given for a return to YoY earnings growth. structural
- Sportsbook margin 8.1% vs 10.5% in Q2 and 9.0% eight-quarter average; sportsbook revenue flat YoY on turnover +8%; Q4 to date 'significantly lower' than average. No structural-margin or promo-intensity disclosure to separate luck from spend. one-off
- B2B revenue -39% YoY to EUR 46.7m (~$52m) on a single customer; CEECA -17%. Concentration risk remains and B2B is also now sensitive to sportsbook hold. watch
- Net cash EUR 98.3m (~$110m) vs EUR 220.0m a year ago; FCF (our calc) EUR 38.7m (~$43m), -26%; ~EUR 44m dividend instalment leaves in Q4. The EUR 40m buyback was executed at avg SEK 112.22 vs SEK 95.40 today and has no successor — capital allocation has pivoted to M&A with willingness to add debt. governance
- Nordics -10% (Sweden, Denmark both down), Belgium weaker, Germany exited, Brazil shut by presidential decree; LatAm tax creep (Buenos Aires 2% on instant-win winnings, Chile 19% VAT) and an EU 3% levy debate add regulatory drag. mixed
- Below-the-line noise: ETR 31.1% (22.3%) and -EUR 5.2m net financials on unrealised intercompany FX losses; other external costs +16.5% (cloud/software) with no cost programme; capitalised development +28% flatters EBITDA by EUR 3.1m YoY. watch

7 FORECAST & OUTLOOK

Guidance bridge. Betsson issues no formal financial guidance, so the 'bridge' is the trading update. Old: the Q2 report (17 Jul) gave no quantified outlook beyond the usual trading statement. New: average daily revenue for 1–18 October was +11.0% versus the full-Q4-25 daily average (+9.4% organic, ex-FX and ex-Rhino), while the sportsbook margin in the period has been 'significantly lower' than the eight-quarter average of 9.0%. The driver is therefore the Casino/B2C division — LatAm regulated casino volume and the World Cup-expanded active base — plus ~1.6pts from Rhino, with Sportsbook a drag on hold. Management added that EBIT has now risen for two consecutive quarters and that the group is 'well positioned to return to earnings growth', without a date.

Q4-25 REVENUE BASE (REPORTED)	Q4-26 RUN-RATE IMPLIED BY +11.0% DAILY REVENUE TO 18 OCT (OUR ARITHMETIC)	RHINO FULL-QUARTER CONTRIBUTION (EST. FROM 2-MONTH EUR 12.8M / EUR 3.8M EBIT)	SPORTSBOOK HOLD NORMALISATION TO ~9.0% (NOT IN RUN-RATE)
EUR 303.9m (~$341m)	**~EUR 337m (~$378m)**	**~EUR 19m rev / ~EUR 5–6m EBIT (~$21m / ~$6m)**	**~EUR 14m gross win per 100bps across all solutions; mid-single-digit EUR m to Betsson revenue (est.)**
EBIT EUR 53.2m, EBITDA margin 22.8%	+11.0% reported / +9.4% organic — not company guidance	~1.6pts of growth; already in the +11.0%	upside if hold mean-reverts; downside if Oct trend persists

Independent view. Q4-26E (our estimates): revenue EUR 335–345m (~$375–387m), +10–13% YoY, assuming the October trend holds and sportsbook hold recovers only partially; gross margin ~55–56% (duties ~21% of revenue, B2B flat at ~EUR 47m); EBITDA EUR 63–68m (~$71–76m), ~19% margin; EBIT EUR 46–50m (~$52–56m) after ~EUR 18m D&A; EPS ~EUR 0.21–0.23 (~$0.24–0.26) with a normalised ETR of ~27%. **FY26E:** revenue ~EUR 1.26bn (~$1.41bn), +5%; EBITDA ~EUR 235–240m vs EUR 313.7m (-25%); EBIT ~EUR 168–172m vs EUR 253.1m (-33%); EPS ~EUR 0.80–0.82 vs EUR 1.29. **Leverage direction:** net cash should end FY26 at ~EUR 85–100m after the ~EUR 44m second dividend instalment, Rhino-related earn-outs (none disclosed) and Q4 FCF of ~EUR 35–40m; the group stays net cash unless it executes the 'sizeable deal' the CEO flagged, in which case the undrawn EUR 75m RCF and a willingness to add bond debt point to leverage moving from -0.4x toward or above 1x. **Swing factors:** (1) sportsbook hold — each 100bps ≈ EUR 14m of gross win across all solutions, with Betsson keeping the B2C share; (2) post-World Cup churn in LatAm actives and whether marketing stays at 15% of B2C revenue; (3) the single B2B customer; (4) Brazil's congressional vote and LatAm tax measures; (5) ARS translation. **Dividend risk:** at a ~50% payout on our FY26E EPS, DPS would fall to ~EUR 0.40 (~$0.45) from EUR 0.66 unless the board prioritises continuity — the ~7.8% trailing yield is not a safe anchor. **Margin direction:** we do not expect gross margin to recover while regulated B2C outgrows B2B; EBITDA margin should hold 18–20% on operating leverage, with upside only if B2B re-accelerates.

What to watch next quarter:

- Sportsbook margin for the full Q4 versus the 9.0% eight-quarter average, and the Q1-27 trading statement in the 4 Feb 2027 year-end report
- B2B licence revenue: does it hold ≥ EUR 47m/quarter and show the first sequential growth, including any Rhino-technology licensing wins
- LatAm cohort retention: active customers and B2C revenue per active in Q4 after the World Cup intake; marketing as % of B2C revenue
- Betting duties as % of revenue (21.3%) and gross margin trajectory as regulated share pushes toward 80%
- Brazil (congressional vote within 120 days of 25 Sept; Supreme Court challenges), Chile licensing bill and VAT, Buenos Aires instant-win tax appeal, Lithuania tax bill, EU 3% levy
- Capital allocation: any new buyback authorisation vs. the flagged 'sizeable deal' and debt appetite; FY26 dividend proposal versus EUR 0.66
- Net cash after the Q4 dividend instalment; RCF drawings; effective tax rate normalisation and intercompany FX losses

DATA CONFIDENCE: HIGH FX: EUR/USD 1.1205 (IMF representative rate) as of 22 Oct 2026; SEK share price converted at ~10.1 SEK/USD derived from the report's 30-Sep SEK/EUR closing rate 0.0883 (approximate). All P&L, KPI, regional, product, cash-flow and balance-sheet figures are taken from Betsson's Q3-26 interim report (IAS 34, limited review by PwC) and cross-checked against Placera/Finwire (FactSet consensus), iGB and NEXT.io; they agree. Flags: (1) organic revenue growth is 8.1% per the report but 6% in the AI-generated call transcript — company figure used; (2) Q2-26 B2B revenue (~EUR 47m) is from the Q2 call summary, not the Q3 report; (3) 9M regional and live-betting figures are our sums of the quarterly disclosures; (4) B2C revenue per active, implied casino hold, FCF, marketing incl. affiliates and all Q4/FY26 figures are our calculations/estimates and labelled as such; (5) Betsson does not disclose market shares, structural sportsbook margin, promo % of handle, or prior-tournament engagement comparables — shown as n/a; (6) Rhino's ~EUR 64.5m announced price is from secondary coverage; (7) the dividend-policy payout reference (~50%) is Betsson's long-standing stated policy, not restated this quarter; (8) the europeangaming.eu and igamingfuture.com URLs supplied were not accessible at fetch time and were not used; Gaming Intelligence was paywalled beyond its headline.

Sources: [Primary] Betsson AB (publ) interim report January–September 2026 (full PDF, 22 Oct 2026) — primary results release and financial statements; [Primary] Betsson AB investor relations hub; [Primary] Betsson AB — share buyback programme page (EUR 40m programme 24 Oct 2025–30 Apr 2026; 3,849,700 shares at avg SEK 112.216); [Primary] Betsson AB press release via MFN — repurchases week 18, programme complete and closed (5 May 2026); [Primary] Betsson AB interim report January–June 2026 (Q2-26 comparatives); [Primary] Betsson AB interim report January–March 2026 (B2B EUR 51m; EUR 10–15m quarterly EBIT drag from investment markets); [Secondary] Investing.com — Betsson Q3 2026 earnings call transcript (22 Oct 2026; AI-generated); [Secondary] Placera/Finwire — 'Betsson slår förväntningarna med rekordomsättning' (FactSet consensus: revenue EUR 314m, EBITDA EUR 62m); [Secondary] Placera — market wrap 22 Oct 2026 (Betsson B close SEK 95.40, +1.76%); [Secondary] iGB — 'Betsson's record Q3 comes at a price' (CEO interview: lower-margin model, B2B, M&A/debt appetite); [Secondary] NEXT.io — 'Q3 2026: Betsson posts all-time revenue amid double-digit profit decline'; [Secondary] The Gamblest — 'Betsson posts record €326.5m revenue in Q3 2026' (Rhino price vs March indication); [Secondary] Gaming Intelligence — 'Betsson negatively impacted by higher costs in Q3' (paywalled; headline only); [Primary] Cision — Changes in the number of shares and votes in Betsson AB (cancellation of 3,094,000 B shares, May 2026); [Secondary] IMF representative exchange rates — EUR/USD 1.1205 on 22 Oct 2026; [Secondary] European Gaming — Gambling stocks weekly 19–23 Oct 2026 (Betsson +7.14% on the week; search snippet only).

Research analysis only — not a rating, price target, or personalised investment advice. Prepared for internal executive review.